

UNREVISED HANSARD

MINI PLENARY - NATIONAL ASSEMBLY

WEDNESDAY, 20 MAY 2026

VOTE NO 3 - COOPERATIVE GOVERNANCE & VOTE NO 15 - TRADITIONAL
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PROCEEDINGS OF MINI-PLENARY SESSION – GOOD HOPE CHAMBER

Members of the mini-plenary session met at Good Hope Chamber at 14:00.

The House Chairperson, Mr W Horn, took the Chair and requested members to observe a moment of silence for prayer or meditation.

APPROPRIATION BILL

Debate on Vote No 3 – Cooperative Governance, including Vote No 15 – Traditional Affairs:

The MINISTER OF CO-OPERATIVE GOVERNANCE AND TRADITIONAL AFFAIRS: hon Chairperson, the hon Deputy Ministers, Minister Masemola and Deputy Minister Prince Burns Ncamashe, the Chairperson of the National House of Traditional and Khoi-San

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Leaders, the President of SA Local Government Association, Salga, the hon members of this House, the Chairperson of the Municipal Demarcations Board, the Directors-General, leaders of the organised labour, fellow South Africans, good afternoon.

It is my honour to present to this House Budget Vote 3: Co-operative Governance and Budget Vote 15: Traditional Affairs for the 2026-27 financial year.

The 2026/27 Medium-Term Expenditure Framework, MTEF, allocates a total of R423,4 billion to Votes 3 and 15: Co-operative Governance and Traditional Affairs.

Of this amount, R422,5 billion is allocated to Vote 3: Co-operative Governance and R900 million is allocated to Vote 15: Traditional Affairs.

These allocations support our mandate to strengthen local government, support the institution of traditional leadership and ensure that Co-operative Governance functions effectively across all spheres of government.

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Hon members, this budget must be understood in context.

In the previous financial year, the government allocated R2,1 billion to 92 municipalities for disaster recovery across provinces such as the Eastern Cape, KwaZulu-Natal, Limpopo, Mpumalanga and North West; and R191,1 million through the Disaster Response Grant to support municipalities facing immediate pressures.

Additional allocations are being finalised, at the amount of R151 million for provinces and R203 million for municipalities.

Furthermore, R166 million was reprioritised from the Municipal Infrastructure Grant, MIG, to respond to recent floods, especially in Limpopo, Mpumalanga and few other provinces.

This budget, hon members, is not an accounting exercise, it is a delivery instrument. It must translate into functioning municipalities and improve lives.

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Reforming the local government system. The people of South Africa rightly expect municipalities to function effectively and deliver services consistently.

Last year we committed to reviewing the 1998 White Paper on Local Government, recognising that the current policy framework no longer fully reflects the complex realities faces by our municipalities today.

The review of the White Paper on Local Government has now been completed under the theme: *Every Municipality Must Work*. This is not a slogan, it is a commitment.

The revised White Paper recognises that local government, today, operates in a far more complex environment than in 1998. It provides a renewed and realistic framework to strengthen governance, accountability and service delivery.

To give effect to this, we are advancing key legislative reforms:

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Firstly, the Local Government: General Laws Amendment Bill will improve governance and operations efficiency.

Secondly, the Municipal Structures Amendment Bill (Coalitions Bill) will address instability in coalition governments. Political parties that will form coalition governments post 4 November local government elections will be required to enter into formal written agreements outlining their commitments and responsibility. these agreements will be legally binding and will help to maintain stability in municipal council.

Thirdly, the Independent Municipal Demarcation Authority Bill will strengthen transparency and accountability.

Fourth, the Draft Fire Services Bill will modernise fire services governance.

These reforms are about one thing, stabilising municipalities so that service delivery becomes reliable, predictable and consistent.

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Preparations for the 2026 Local Government Elections, scheduled for 4 November 2026, are firmly on track.

We have achieved the following critical milestones: firstly, establishment of an Inter-Ministerial Committee on Municipal Elections; secondly, finalisation of councillor numbers; thirdly, delimitation of 4 488 wards nationally and ongoing work by the Independent Electoral Commission, IEC, including voter registration, is well underway.

The key principle guiding us in preparing for the local government elections on 4 November 2026 is that the elections must be free, fair, credible and beyond reproach.

When it comes to building capable, ethical and accountable municipalities, a capable state requires capable institutions. Municipalities cannot function where appointments are irregular, leadership is unstable and accountability is weak.

We are, therefore, strengthening competency-based recruitment, professionalisation of municipal administration, performance management systems and ethical leadership.

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The introduction of the Code for Ethical Leadership, together with ethics training programmes, is reinforcing accountability. Without ethical leadership, no reform will succeed.

When it comes to improving audit outcomes, despite challenges in local government, encouraging progress is beginning to emerge in municipal audit outcome: 59 municipalities have improved audit outcomes and 41 municipalities have achieved clean audits.

This tells us something important. Where there is discipline, monitoring and consequence management, improvement follows.

However, we must be equally candid. Too many municipalities continue to struggle. Weak governance and financial mismanagement remain a serious concern.

The targeted interventions in distressed municipalities. Government continues to provide differentiated support to municipalities experiencing severe governance, financial and service delivery challenges. For instance, in Emfuleni, a

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Special Purpose Vehicle with Rand Water is being established to stabilise water services.

In Ditsobotla, which has been on the public domain for bad reason, following chronic instability, the national intervention has finally stabilised governance, improved financial management and restored basic services.

We will not hesitate to intervene where municipalities fail communities.

The District Development Model, DDM, remains central to our work. But we are now shifting it to a new phase ... sorry ... we are now shifting it to a new phase, from planning to delivery. This includes stronger accountability mechanisms, delivery dashboards and clearer escalation protocols.

At the same time, infrastructure remains a major constraint. We are exploring blended finance, private sector partnerships and the new funding models.

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We must move beyond reliance on limited municipal balance sheets.

When it comes to the community development and economic participation, the Community Work Programme, CWP, currently supports over 186 000 participants. We are repositioning it towards skills development, enterprise creation and sustainable livelihoods. Participants are already contributing to waste management, minor infrastructure repairs and local service delivery.

This programme must become a pathway to economic opportunity, not only income support.

Hon members, South Africa is experiencing increasingly frequent disasters. Recent events have affected multiple provinces, including Western Cape, Eastern Cape, Northern Cape, Free State, North West and Mpumalanga.

It is important to distinguish that many people are calling for a declaration, classification and the latest one which was done on 18 May have equal impact in ensuring that all three

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spheres of government intervene, in terms of mobilising the resources.

The increasing number of disaster classifications, including severe weather, drought and other risks, places growing pressures on the fiscus, institutions and coordination systems.

We must strengthen early warning systems, preparedness, risk-informed planning and climate resilience.

In terms of our working together with the traditional affairs, we continue to address the Constitutional Court's ruling through the Traditional and Khoi-San Leadership Bill of 2025, which will shortly be introduced in Parliament.

Progress is also being made on the recognition of Khoi-San communities, strengthening customary governance and integrating traditional leadership into developmental planning.

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We are working to ensure that achieve zero initiation fatalities. We are strengthening regulations, enforcement and accountability.

We are also strengthening the role of traditional leadership in governance. This includes participation in development planning, structured collaboration with municipalities and alignment with the revised White Paper.

Hon members, this budget vote marks a clear shift from diagnosis to delivery. We are stabilising municipalities, strengthening governance, restoring accountability and building resilience, guided by the principle of *Every Municipality Must Work*.

We are committed in building a capable, ethical and responsive system of local government.

I hereby, therefore, table Budget Vote 3: Co-operative Governance and Budget Vote 15: Traditional Affairs for consideration and approval by this hon House. Thank you, hon Chair.

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Dr Z L MKHIZE: House Chairperson, the hon Minister, Deputy Ministers, hon members, the Chairperson of the National House of Traditional Leaders, leadership of the SA Local Government Association, Salga, Municipal Demarcation Board, the Commission for the Promotion and Protection of the Rights of Cultural, Religious and Linguistic Communities, CRL, Directors-General and all South Africans,

This year marks the end of the administration for local government, political administration, since the date has also been announced by the President on 4 November for elections. I rise here to support Votes 3 and 15. I do believe that it is important for us that we express our huge concern about the inadequate service delivery that we still see with a large number of distressed and dysfunctional municipalities.

The portfolio committee has expressed concern about huge budget reductions across the department. This calls for more co-operative governance between national and provincial governments to work in synergy to deliver an impact in each ward and every municipality as part of turning around the municipalities. In our oversight programme, we have seen that

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the impact of oversight has been a demonstration for intensified supervision of municipalities by the Department of Co-operative Governance and Traditional Affairs and Treasury, so that they are able to effectively provide Section 154 support.

While this is a challenge for the Department of Co-operative Governance and Traditional Affairs, the committee also extends this challenge to Salga to relook at its focus on its members supporting municipalities, considering that the Salga audit outcomes are not comparable to those of municipalities. It has also been demonstrated that 9,5% of national revenue going to municipalities is inadequate. The proposed revision, therefore, of the funding formula for local government is fully supported.

This also has to go hand in hand with improved interhelical coordination to ensure that all resources are deployed synergistically at all levels. Several municipalities are non-viable, and in our oversight programme, we actually recommended immediate and decisive intervention from national Ministers, because the municipalities alone cannot turn their

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situation around. We are therefore concerned about the number of municipalities which are too few, which are distressed, that are in the annual performance plan, APP, which are for support, and therefore, to be given assistance in financial recovery plans and management of debts to Eskom and water utilities.

We believe that more needs to be done in this regard. We also have been concerned that there needs to be strengthening of the financial systems to curb corruption and malfeasance, and also to ensure that we have strong oversight structures for the prevention of the ballooning of Unauthorised, Irregular, and Fruitless and Wasteful, UIFW. So far, as we moved around in the various provinces, we see that there are not many provinces that have taken advantage of the joint oversight programme to ensure accountability and visible consequence management.

We would like to encourage them to actually use the time to turn the municipalities around. We know the intention of the National Treasury of playing a much more active role in supporting and directing finances towards the municipalities,

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where direct municipal transfer will be increasing and focusing on infrastructure, electrification, water services, and we support this. We need reforms. We need reforms in ethical leadership, in professionalism, in also strong financial systems, and we support the Treasury's approach to the City of Johannesburg, which brings about seriousness in municipalities, and particularly to make sure they take responsibility. We also want to urge the municipalities to focus on building, bringing low-cost accommodation at the level of the city centers. We support the strengthening of Municipal Infrastructure Support Agent, Misa, in supporting the municipalities.

We also want to continue monitoring their work at this level. As the portfolio committee, we are seized with the process of dealing with the CRL Rights Commission's Section 22 Committee to diffuse the tension that has developed with religious leaders. We need to resolve this because it is unwarranted and preventable.

We need to be able to get Parliament to demonstrate its defence for the Bill of Rights, particularly freedom of

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religion and freedom of worship, which is enshrined in the Constitution. We have also raised issues with the Demarcation Board that they need to look into more consultations to avoid splitting communities and ensure that their functionality is not disrupted. Whilst we are waiting for the passing or the processing of the Bill on the Traditional and Khoi-San Leadership, we have also received reports of politicisation of traditional leadership institutions in some provinces, and I have indicated, hon Minister, we will be submitting some of the cases that have been reported to us from the province of KwaZulu-Natal.

But the issue of Khoi-San community needs more attention. There will need to be a parallel process that deals with some of the issues, such as land issues, land dispossession, language, agriculture, and mineral rights issues. We similarly support the call for target zero death and mutilations on customary initiation.

We believe that these are quite preventable, and we need to work together with various stakeholders. We need an interdepartmental, multisectoral forum that will be convened

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to ensure that we reduce the deaths, increase community information, and also increase the level of conviction of those who are participants who might be culpable in this kind of situation. We have noted the high cost of employee-related costs for the CRL and the Municipal Demarcation Act, MDA, and we believe that this needs to be explained, and we think that something needs to be done with regard to this one.

So, with all of this, House Chairperson, we want to indicate our support for the two Votes, and from the point of view of the ANC, we support the two Votes. Thank you very much.

Mr J B MTOLO: Hon Chair, hon members, fellow South Africans, today we debate not merely a Budget Vote, but a state of local governance, national leadership, and community accountability in the Republic of South Africa. Once again, this Budget Vote exposes a painful reality.

The government continues to spend more while delivering less. Therefore, uMkhonto weSizwe rejects this budget. The Department of Co-operative Governance and Traditional Affairs was meant to strengthen municipalities, protect traditional

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institutions, support social cohesion, and ensure functional local governance.

Instead, this department has become a permanent crisis management center for collapsing municipalities, neglected communities, and failed oversight systems. This budget may speak the language of development, but communities across South Africa are living the reality of decline.

Hon Speaker, the budget before us allocates billions of rands toward local government support, governance programmes, disaster response mechanisms, traditional affairs, the SA Local Government Association, Salga, the Municipal Demarcation Board, and institutions such as the CRL Rights Commission.

But despite these allocations, uMkhonto weSizwe Party continues to ask a simple question, where are the results? Municipal collapse is accelerating, traditional communities remain undeveloped, community grievances are ignored, and institutions tasked with social cohesion are underperforming while social tensions continue rising. This is not sustainable

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governance. This is not an administrative drift financed by taxpayers.

The uMkhonto weSizwe Party rejects this budget, and once again, is asking where is Ubuntu? Ubuntu cannot exist where communities live without water, without sanitation, without roads, and without dignity. Ubuntu cannot survive where corruption steals from the poor, while municipalities collapse in full view of the government. Ubuntu cannot remain silent while citizens are abandoned by the various institutions created to serve them.

Let us begin with the municipalities. South Africa's local government system is in deep distress. Many municipalities are financially bankrupt in everything except official declaration.

Some cannot pay creditors; others cannot even maintain water systems. Many have become dependent on grants while failing to generate sustainable revenue. Infrastructure is collapsing because maintenance budgets are either misused, stolen, or redirected toward politically connected patronage networks.

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The Auditor-General has repeatedly warned this government about irregular expenditure, unauthorised spending, and weak accountability systems. Yet, consequences remain rare. Officials implicated in failure remain employed.

Councils collapse repeatedly without solutions, and communities continue suffering, with the government-hosted service delivery summits with no measurable outcomes. The uMkhonto weSizwe Party rejects this normalisation of dysfunction.

We must also confront the failure surrounding the Municipal Demarcation Board. Municipal boundaries directly affect governance, efficiency, service delivery, representation, and economic sustainability. Yet, too often, demarcation decisions have ignored the realities of communities. Many municipalities are geographically unsustainable, economically weak, and administratively overextended.

Communities are frequently not consulted and are merely procedural exercise, while sometimes leading to litigation. The result is growing public frustration, protest, and

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distrust toward local government structures. The Municipal Demarcation Board cannot operate as a distant technical institution disconnected from the social and economic realities of communities on the ground. Boundary decisions must prioritise viability, accountability, accessibility, and safe delivery, not political convenience. We need a serious national review of municipality functionality and sustainability because maintaining dysfunctional municipalities for political reasons is costing this country billions of rands.

The uMkhonto weSizwe Party views this Budget Vote as a failure to address the continuing neglect of traditional leadership institutions. Traditional leaders remain central to governance, social cohesion, land administration, and cultural preservation in many communities. Yet, despite repeated public commitments, many national councils continue operating without adequate infrastructure, administrative support, or developmental investment.

The government praises national leaders during ceremonial occasions but neglects the conditions of communities that they

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serve. This contradiction is unacceptable. Respect for traditional leadership must go beyond symbolic recognition. It must include meaningful rural development, institutional support, and proper inclusion in governance planning processes.

Neglect becomes even more concerning when we examine the state of institutions such as the CRL Rights Commission. This commission was established to strengthen social cohesion, protect cultural rights, and mitigate tensions in a diverse cultural democracy. Yet, many South Africans have little confidence in its feasibility, responsiveness or impact. I thank you. [Time expired.]

Ms C LABUSCHAGNE: Hon Chair, South Africans are not suffering because the government lacks plans. They are suffering because the government lacks accountability. Communities sit without water while billions are spent. Sewage runs through streets while municipalities submit performance reports.

Infrastructure collapses while officials implicated in financial misconduct simply move from one municipality to another. The crisis in local government is no longer merely a

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capacity problem. It is now fundamentally a consequence management problem and unless this budget vote directly confronts accountability failure, no Annual Performance Plan will change the lived reality of communities.

The findings of the Auditor-General of SA over the past two years have been consistent. Weak financial oversight and meaningful consequence management, vacant critical posts, poor project oversight, and collapsing infrastructure maintenance.

The department itself acknowledges these failures. In eThekweni Metropolitan Municipality, water losses remain extremely high while communities continue to depend on water tankers as though they are a permanent service delivery model. In the City of Johannesburg, revenue generated through water services has not been sufficiently reinvested into infrastructure maintenance, contributing to system deterioration. In Maquassi Hill Local Municipality, instability around senior financial appointments has disrupted governance processes and across many municipalities critical posts remain vacant or occupied indefinitely in acting capacities.

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Hon Chairperson, this budget vote must shift from measuring activity to enforcing accountability outcomes. The department's Annual Performance Plan and budget priorities must focus on financial governance, professionalisation, infrastructure sustainability, effective disaster management, and consequence management. As climate-related disasters place increasing pressure on municipalities, disaster management must focus not only on emergency response but also on infrastructure resilience and co-ordinated planning to protect vulnerable communities.

At the same time, the reform process envisaged through the White Paper on Local Government must remain focused on building municipalities that are financially sustainable, professionally administered, and capable of delivering reliable services. Importantly, these standards of accountability, professionalism, transparency, and consequence management must apply consistently across all entities reporting to the departments. Firstly, conditional grants must be linked directly to governance compliance.

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The DA proposes a conditional grant governance certification framework. Before municipalities receive new or expanded infrastructure allocations, they must submit a certified disciplinary action register linked to audit findings. Proof that investigations into financial misconduct have been finalised and evidence that matters involving corruption and fraud have been referred to investigative authorities where required. Where municipalities fail to comply, portions of conditional grants should be withheld until corrective measures are implemented.

Secondly, professionalisation can no longer remain a slogan. Municipalities must demonstrate the permanent appointment of a qualified chief financial officer, the permanent appointment of a qualified head of supply chain management, and compliance with National Treasury competency standards. Acting appointments existing beyond six months should automatically trigger a review of governance and grant allocations. Because capable municipalities cannot be built on temporary appointments and outsourced accountability.

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Thirdly, when these reforms begin producing more effective and financially stable municipalities, accountability and transparency must follow through. Strengthen public reporting mechanisms. The department should progressively implement a public transparency dashboard reflecting irregular expenditure, disciplinary cases initiated and finalised, funds recovered, and vacancy rates in senior financial positions. Where municipalities under section 139 interventions fail to implement consequence management within 12 months, stronger measures must follow.

Infrastructure allocation should be redirected into ring-fenced project management structures with protected oversight. Where financial collapse persists, temporary centralisation of financial management authority under structured intervention must be considered.

Hon Chairperson, the people of South Africa are tired of presentations that do not translate into functioning infrastructure, financial discipline, or reliable services. They want municipalities that work. That means professional administration, transparent governance, sustainable

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infrastructure maintenance, effective disaster preparedness, and real consequences for failure. Until those principles shape both the department's budget allocations and its Annual Performance Plans, local government decline will continue. I thank you.

Ms H O MKHALIPHI: House Chairperson, revolutionary greetings to commander-in-chief and president of the EFF leadership, officials, and the ground forces of our movement. Chairperson, the EFF rejects the Budget Vote on Co-operative Governance and Traditional Affairs. Municipalities are the heartbeat of the country. When municipalities function well, economic opportunities are expanded and poverty and crime levels are reduced. Today, we are a dysfunctional country largely because our municipalities have been allowed to be run down by incompetent and corrupt aligned politicians and officials.

True freedom comes when an old grandmother in Giyane finds water when she opens a tap, when a village person in uPhongolo KwaZulu-Natal gets joy in her heart when they switch on a light, when people in Ngqeleni are able to drive on a properly maintained road, or when people in Nyanga and Delft have their

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refuse collected on a regular basis. Unfortunately, it's not happening.

For millions of people in this country, these basic necessities are only a pipe dream. Only sixteen per cent of 257 municipalities in this country are functional enough to manage their accounts well. Only 16 out of 257 meant to provide services to the people they meant to serve. At the centre of this collapse is corruption, House Chairperson. This is not merely incompetence. It is the deliberate and systemic looting of public resources meant for our people.

In the Eastern Cape, Buffalo City and OR Tambo Municipalities are under investigation for water projects where millions were paid before their work was done. In the Free State in Masilonyana and Mqheke Municipalities are facing probes linked to water treatment failures and irregular security contracts. In Limpopo, Lepelle-Nkomo is being investigated for multiple contracts ranging from electrification to road upgrades, while in Mpumalanga and Bushbuckridge, it is implicated in irregular street paving tenders. In eThekweni alone, R29,1 million has been referred for civil recovery

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after housing contracts were manipulated for personal enrichment.

This is organised corruption. Despite all of this, the Minister, Cogta does not act. It waits until municipalities collapse completely before intervening. This is very sad. This is not an oversight, Minister. It is an attitude called I don't care attitude and failure management. In May 2026, Nelson Mandela Bay, a metro servicing over 1,2 million people, was left without a City Manager or even an Acting Manager for that matter for seven days. Guess what, Minister? Governance came into a standstill. No decision could be signed. Municipal fleets were parked and service delivery stopped. The people of Nelson Mandela Bay suffered. Cogta only intervened after the crisis. That is not leadership. It is negligence.

At the same time, Nelson Mandela Bay wasted over R10 million on one individual. The suspended City Manager, Dr Noxolo Nqwazi has been at home since February 2024, sitting at home, playing with her kids, earning R6,7 million without working, including acting appointments and legal fees. The cost exceeds R10 million. Where was Cogta? Nowhere to be found, Minister.

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While this was happening, the city lost R1,6 billion in National Treasury rollovers due to the absence of an accounting authority to sign off. This is economic sabotage.

In eThekweni, the only metro in KwaZulu-Natal, service delivery has collapsed. Communities like Ward 56 in Nanda are living with sewage flowing in the streets. This is so inhuman. Streetlights have not been working for years in KwaZulu-Natal in eThekweni. Living communities in darkness, especially as winter approaches, criminals are taking advantage of this failure. Water shortages have become a national crisis everywhere in the country. Instead of fixing the infrastructure, municipalities have turned water tankers into a business controlled by politically connected individuals. Water has been commodified, and we want to know who the owners of these water tankers are.

Victims of floods from 2022 are still without proper housing. Some have been left in places like Lindela with no clear plan forward. There's no dignity in that thing. There's no leadership. There's no accountability. There are no basic needs. They're just put there ...

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IsiZulu:

... abantu benkosi.

English:

So, we are calling for South Africans on the 4th of November 2026 to go and vote for the EFF. Thank you very much, House Chairperson.

Inkosi N Z BUTHELEZI: Hon Chairperson, Minister, Deputy Ministers, hon members and fellow South Africans, the Inkata Freedom Party welcomes Budget Vote 3: Co-operative Governance and Budget Vote 15: Traditional Affairs because the strength of our democracy is felt first at the local level. South Africans encounter the government first and most directly through municipalities. They experience it through the delivery of water, sanitation, electricity, roads, refuse removal and disaster response. They also experience it through institutions that recognise traditional leadership and protect customary systems. For this reason, the effectiveness of local government remains central to improving the daily lives of our people.

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The strategic priorities being advanced by the department are well aligned to these realities. They reflect a clear focus on improving municipal functionality and strengthening the institutions that serve both urban and rural communities. This direction is consistent with the IFP's long-standing commitment to poor and working-class communities, support the institutions of traditional leadership and practical governance that reduces poverty, inequality and unemployment.

Hon Minister, your department has presented a clear and credible reform agenda to alleviate local government issues. We acknowledge the focus on strengthening municipal performance and stabilising distressed municipalities. We, therefore, welcome the department's emphasis on improving audit outcomes and improving targeted support to districts and metropolitan municipalities facing systemic challenges. These priorities are essential if municipalities are to deliver reliable and consistent services.

The IFP also commends the completion of the White Paper on Local Government Review. Hon Minister, we take note from the White Paper that you have diagnosed the structural problems of

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local government and have identified strategic interventions to address them. These reforms emphasise professionalisation, institutional capacity and accountability. The alignment between reform capacity and accountability is critical to ensuring that municipalities fulfil their development and mandate.

Hon Chairperson, we appreciate the department's recognition that local government reform must be tied to accountability and professionalisation. Specifically, we recognise that the department is advancing the development of a national database of dismissed municipal officials and supporting post-audit action plans.

The renewed recognition and centralisation of traditional leadership as strategic partners in governance, not just relics of the past, is an important development. It reflects a growing understanding that traditional leadership remains an integral part of the South African society and must be fully integrated into development processes.

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Hon Chair, as I conclude, the IFP, therefore, supports this budget. It will build capable local institutions that serve our people. We are confident that this budget will strengthen governance and create conditions for dignity and stability, which is desired by all South Africans. I thank you.

Mr S H M VAN WYK: Yes, hon members, I am back after this morning, hon Reddy. I am back because I suffer from a speech impediment. Many people out there suffer with speech impediments, hundreds and thousands of them, and they are scared to stand up and face this fear. I am not one of them. I will stand up in order to inspire them and to motivate them. Thank you very much.

Hon Speaker, the Patriotic Alliance rises in this debate with a clear message. Co-operative governance must return to the people. Local government is collapsing because leadership has collapsed. The Department of Co-operative Governance and Traditional Affairs, Cogta's, own assessment showed that over 60% of municipalities are dysfunctional or at high risk, unable to maintain infrastructure, collect revenue or deliver

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basic services. This is not a technical failure. It is a failure of political will and accountability.

For very long, so-called coloured people, Indian and black communities have been treated as invisible in planning and budgeting. Whether on the Cape Flats, in the Cape Winelands, Cederberg, Northern Cape towns of Upington, Springbok and De Aar, or in Eldorado Park and Westbury in Gauteng, these communities remain last in line for housing and services, and first in line for evictions.

Afrikaans:

Huisvoorsitter, mense sê dit reguit, ons voel soos 'n afterthought [nabetragting] in ons eie land. Hulle wag jare vir huise, hulle strate is vol gatte en municipal officials [munisipale amptenare] praat met hulle asof hulle kinders is.

English:

Hon members, we must confront the myth that the DA-run municipalities in the Western Cape are the best run. In Cederberg, the Auditor-General has flagged instability and weak consequence management. In the City of Cape Town,

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communities report selective law enforcement, evictions and development decisions that favour wealthy suburbs, while the Cape Flats waits for upgrades. In the Cape Winelands, rural and farm-worker communities are evicted on a weekly basis, and these patterns are not unique to the Western Cape.

In Upington, Springbok, De Aar, Eldorado Park and Westbury, residents raise the same concerns - slow responses, poor communication and leadership that does not listen.

Chairperson, the Municipal Demarcation Board shapes representation and resource allocation, yet communities in Cape Town, the Cape Winelands and even Northern Cape towns have affluent wards while diluting the voice of poorer, coloured and marginalised communities. This demands transparency and fairness.

On Vote 15, we must confront a historic injustice. The Khoikhoi and San, the first nation of this land, remain amongst the most marginalised, despite constitutional recognition. They face barriers in land restitution, cultural restoration and participation in governance. In the Western and Northern Cape, Khoikhoi and San leaders consistently

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report being sidelined in planning, heritage decisions and land use processes. Traditional Affairs must deliver real inclusion and real empowerment.

Hon members, co-operative governance and traditional affairs must mean shared responsibility, shared accountability and shared dignity. Let us build municipalities and traditional governance systems that work for all our people, especially those ignored for far too long. As the Patriotic Alliance, we support. Thank you.

Mr W W WESSELS: Hon Chairperson, please allow me to keep my video switched off due to network connectivity.

Afrikaans:

Agb Voorsitter, samewerkende regering is 'n ingewikkelde konsep en beginsel wat in ons Grondwet vervat is, dit te same met die beginsel wat drie outonome sfere van die regering daarstel. Outonomie teenoor samewerking is nie altyd eenvoudig nie. Die Grondwet stel ook daar veiligheidsnetmeganismes om die een sfeer en die ander sfeer toerekeningsvatbaar teenoor mekaar te hou en sodat daar 'n vangnet is vir enige

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oortredings en dat mense nie ly nie. Ongelukkig, misluk hierdie intervensies waarvoor die Grondwet voorsiening maak veral met betrekking tot artikel 139 intervensies waar provinsies by plaaslike regering kan intree wanneer 'n munisipaliteit faal om sy verpligtinge na te kom.

Daar is hoeveel munisipaliteite, agb Minister, wat al vir meer as 'n dekade onder artikel 139 onder provinsiale intervensie verkeer. Dit beteken ons het 'n probleem, want dit werk nie. Nasionale intervensies werk soms, maar daar is Mangaung Metro wat onder 'n nasionale tesourie en finansiële herstelplan intervensie al vir omtrent agt of nege jare is, en daar is nie verbetering nie, eintlik die teenoorgestelde.

English:

There are many programmes that Cogta has launched to assist and support municipalities, because it's not an easy task to navigate between autonomy, and assisting and supporting. The Minister and his department have a huge and difficult task. In the last 15 years, programmes like the Local Government Turnaround Strategy, Operation Clean Audit, establishment of a Municipal Infrastructure Support Agency, Back to Basics

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municipal recovery programme and the District Development Model have been implemented and billions were spent, but very little results were yielded.

Very little progress was made. Decay continued. Billions have been looted and continue to be looted. Municipal infrastructure grants are underspent and at the end of the day, when the taps are dry, sewage runs into water sources, roads are impassable, jobs are lost, and rates and taxpayers are overburdened whilst being underwhelmed. Slogans and constitutional principles do not matter. Results do. The Minister talks about every municipality that must work. Every municipal official must work. Every local politician must start to work and be there for the people. That is what is necessary.

Afrikaans:

Ons verwelkom, agb Voorsitter, die hersiening van die Witskrif. Meer is egter nodig as slegs die hersiening en munisipale afbakening is een van die kwessies wat dringend aandag moet geniet. Afbakening kan nie slegs vir politieke oogmerke gedoen word nie. Dienslewering moet gesetel wees so

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na as moontlik aan die inwoners. Hierdie groot munisipaliteite wat ons het, werk nie. Groot metro munisipaliteite val, mense gaan sonder dienste juis as gevolg daarvan. Ons het kleiner, bestuurbare munisipaliteite nodig waar dienslewering en besluitneming oor dienslewering gesetel is so na as moontlik aan daardie inwoners. Ek dank u, Voorsitter.

Dr T K S LETLAPE: House Chairperson, to the Minister, the first I would like to say, is pass our condolences as Action SA to the family of Thato Molosankwe of Lomanyaneng Village in Mahikeng, who was gunned down this morning at home. He was an anti-crime activist and a traditional healer.

Now, I've looked at the White Paper on local government, and it wants us to reflect on the challenges affecting municipalities. And part of the issues it raises is rapid urbanization and funding disparities.

The major challenge that our local government faces is incompetence and corruption, both enabled by political interference and indifference. Whatever white, pink or black

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papers we write, if we do not address those fundamentals, nothing is going to change.

Recently, we've had the head of state commend the mayor of Nelson Mandela Bay Municipality, when the Department of Cooperative Governance and Traditional Affairs, CoGTA wants to place that municipality under administration. When we've heard about the poor performance of that administration, either we blind or we truly don't care.

Our local municipalities tax law abiding citizens to bankruptcy, with their rates and taxes. And we protect those who are not paid, including government institutions like prisons or hospitals. And we wonder why our municipalities are not working. We speak of a public service commission that talks about one public service as defined in Chapter 196, section 1, of our Constitution.

Chapter 197 talks about terms and conditions of employment in public service have to be prescribed by national legislation. When you look at what officers earn, it's all over the place. There's no guidance in terms of what they should earn.

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So, do we really have a single public service, or we just have chaos that occurs at that level? You also have great duties in terms of traditional leaders and what we hope will come out Minister, is a clear role definition of traditional leaders in South Africa vis-a-vis the Constitution, human rights and what most traditions do to females in terms of gender inequality. Those issues need to be clarified. All of us talk about the tribes that we come from. Let us not forget that the coat of arms of this nation talks about diverse people unite.

So, until we create a commonality of what it means to be a South African citizen, we've suffered under Afrikaner nationalism. We now suffer under African nationalism. Let us become ethical. Let us become one. Let us root out corruption. Let us criminalise.... Thank you. [Time expired.]

The DEPUTY MINISTER OF COOPERATIVE GOVERNANCE AND TRADITIONAL AFFAIRS (Prince Z Burns-Ncamashe): House Chairperson, hon members of the portfolio committee and members of this House, hon Minister Hlabisa, Bulawayo and Deputy Minister Masemola, Kgobetse, our esteemed royalty, our kings and queens, the Chair and Deputy Chair of the National House of Traditional

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and Khoi-San Leaders, senior government officials, fellow South Africans.

It is indeed my humble privilege to contribute to the tabling of Budget Votes, 3 and 15 on Cooperative Governance and Traditional Affairs in our National Assembly for its support. A year ago, around the time of this budget vote, some of our provinces experienced devastation due to inclement weather conditions that caused a lot of catastrophic damage, havoc, and mayhem, which also led to loss of lives.

The government, led by the President and the Minister of Cooperative Governance and Traditional Affairs, made concerted efforts to rally government support to the communities that were affected by the severe weather conditions that time. The current year under review, the country also experienced severe floods and weather condition that caused a lot of damage to infrastructure, human settlements, and the loss of people and animals.

These devastating weather conditions were experienced in provinces of Limpopo and Mpumalanga. I would like to also echo

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the words of hon Minister Hlabisa to convey my condolences to especially the people of Limpopo and Mpumalanga Provinces who endured the terrible weather conditions and were negatively affected by disastrous floods that caused deaths of young children and old people. It also left a trail of massive damage to infrastructure and herds of domestic animals.

As a Minister of Cooperative Governance and Traditional Affairs, we continue to hold hands with the provincial governments of Limpopo and Mpumalanga and other role players in addressing the aftermath of this disaster and in assisting the affected communities to get back to their feet.

As the Department of Traditional Affairs, we remain committed to ensuring that the institution of traditional and Khoi-San leadership is involved in statutory processes of governance. In this regard, section 39 (1) of the Traditional and Khoi-San Leadership Act provides for certain Bills to be sent to the National House of Traditional and Khoi-San Leadership House for comments before they can be passed by Parliament.

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In the spirit of cooperative governance, organs of state also consult with the National House on their own draft policies and proposed pieces of legislation. In the financial year 2025-26, the National House provided inputs on five pieces of legislation, including amendment of the Customary Initiation Act, Intergovernmental Monitoring Support and Intervention Bill, the Water Services Amendment Bill, and the Constitution 22nd Amendment Bill, among others.

We also want to emphasise that not only Bills concerning customary matters must be referred to the House, but all Bills that have a bearing on the lives and livelihoods of communities observing a system of customary and/or indigenous law irrespective of spatial and geographic location must be referred to the House of Traditional and Khoi-San leaders for consideration and comment.

As I'm approaching conclusion, we are concerned about the growing trend of the albatross of unwarranted disputes, which continue to show its ugly head to the detriment of the institution's dignity and decorum. We appeal to all royal houses, royal family members to provide leadership and take

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responsibility in identification of legitimate incumbents without fear or favour and also take deliberate effort to mold the character, so as to exemplify the expected values commensurate to the dignity and integrity of the throne.

As I conclude, the other areas where we are intentionally and deliberately investing is around training and capacity building for traditional leaders, gender-based violence and femicide pandemic, Lenaka Legacy Project to promote historiographic ethnography among our communities, social and labour plans, as well as the Eastern Seaboard Development Corridor covering the four districts between Eastern Cape and KwaZulu-Natal, KZN. Thank you very much, House Chairperson

Mr P NDAMASE: Hon House Chair, hon members, it gives me great honour to stand here and remind you of the ANC's January 8th Statement of 1985 in which ... [Interjections.] ...

The HOUSE CHAIRPERSON (Mr W Horn): Order, hon members.

Mr P NDAMASE: In which Oliver Regionald Tambo opened as follows, I quote:

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South Africa is littered with the graves of young patriots who were massacred by the apartheid regime in 1976 and in the subsequent years. This self-same regime, which bears responsibility for the crimes, has with great impudence decided to observe the International Year of the Youth whose motto is, participation, development and peace.

Here we are, 50 years after 1976, making a clarion call that any development agenda must be deliberate in annihilating the scourge of unemployment amongst our youth. As the ANC, we support the budget for the Departments of Co-operative Governance and Traditional Affairs. The Municipal Infrastructure Support Agent, the SA Local Government Association, the Municipal Demarcation Board and the Commission for Promotion and Protection of the Rights of Cultural, Religious and Linguistic Communities.

Hon Minister, we are in agreement with your intention to support as enjoined by section 154 of the Constitution of 20 rural district municipalities and four metropolitan municipalities which are; Buffalo City, Nelson Mandela, City of Johannesburg, as well as eThekweni. As the legislative arm

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of the state, we will continue to exercise oversight as guided by the sector oversight model in the following focus areas, amongst others:

The 22 municipalities that are targeted for revenue enhancement; secondly, the Department's tabling of the Local Government General Laws Amendment Bill in Parliament by 31 March 2027; thirdly, the promotion of local government professionalisation as envisaged through the establishment of the national database for dismissed municipal officials. This attempt is aimed at eliminating the mobility within the system by serial offenders; fourthly, the proclaimed 100% of the commitments relating to the review of the White Paper on local government.

We are concerned about the downward spiral of our economy, which has resulted in high levels of unemployment that is hitting our youth hardest. The Community Work's Programme remains a positive contribution to the unemployed cohort of our people. It is, therefore, an unwelcomed pain to observe 90 000 cuts from the 250 000 to 260 000 participants. We are saying no further cuts in this programme.

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If we look at the role of the Municipal Infrastructure Support Agent, we are saying, we will closely monitor all the commitments made by this entity for the current financial year, and those commitments are inclusive of the following, amongst others: One, the technical support teams to the nine provinces prioritising low capacity municipalities. The output indicators emphasise wastewater treatment infrastructure and infrastructure-related technical skills training for 300 young graduates and apprentices as to improve their employment prospects.

Secondly, the infrastructure development management, which is epitomised by leveraging partnerships between public and private sectors. In conclusion, the ANC prides itself as the product of the institution of traditional leadership, as reflected in its leadership for the past 114 years. We are therefore making an impassioned plea to everybody in this august House to join us in making sure that the Traditional and Khoisan Leadership Bill succeeds. We dare not fail. Thank you very much.

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Mr W M THRING: Hon House Chairperson, the ACDP is aware that based on the report submitted by the Cultural, Religious and Linguistic, CRL, the National Security Strategy for 2024-28 publicly identifies mushrooming of charismatic churches as a domestic national security concern. This places millions of Christians who fall into this category into a national security framework alongside.

The CHAIRPERSON (Mr M G Mahlaule) Hon Thring, can you hold on? Hon Bagraim, can you mute your gadget, please? You are disturbing the sitting. You can proceed, hon Thring?

Mr W M THRING: Thank you, hon Chair. This places millions of Christians who fall into this category into a national security framework alongside organised crime, violent extremism, corruption and terrorism. In a sworn affidavit, Professor Musa Xulu, former chairperson of the CRL section 22 Committee, states that he recently received a call from a Mr Vincent Mnguni, who stated that he was acting on behalf of the National Intelligence or State Security Agencies, informing him that Mrs Mkhwanazi-Xaluva had recently referred him for

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investigation regarding legal opinions concerning the section 22 committee process already circulating publicly.

Additionally, allegations were made that Christian organisations and leaders, including the Freedom of Religion South Africa, FOSA, SA Church Defenders and others opposing the current CRL process, had allegedly also been referred to state security structures for investigation, profiling and or possible surveillance. As a result, the ACDP supports Professor Xulu's call for clarification regarding the CRL's engagement with the state security structures, an investigation into the inclusion of charismatic churches in the national security strategy, urgent constitutional scrutiny of the CRL's section 22 process and full parliamentary oversight of these developments.

The Co-operative Governance and Traditional Affairs Portfolio Committee should not accept any report or recommendations from the CRL section 22 committee until the finalisation of the court case in this matter. Going back to the budget of some R410 billion, the ACDP is deeply concerned about the municipal governance decline in our 257 municipalities. In the Nelson

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Mandela Bay, the city has lacked a functioning city manager for nearly three years, while the suspended manager drew R6 million in pay.

The Madlanga Commission found ghost procurements and irregular contracts in eKurhuleni and Tshwane and the exposure of every ... Inaudible.] ... and irregular expenditure in the Nelson Mandela Bay which saw R1,7 billion written off. When municipalities fail to account, communities suffer, roads remain impossible, clinics are underresourced and local economies are stifled. As kingdom builders, the ACDP reminds the Minister that we cannot afford municipalities that are little more than conduits for corruption. Neither can we afford a CRL that seeks to weaponise legislation to use against the church. I thank you, hon Chair.

Mr N L S KWANKWA: House Chair, the department's greatest crisis is the widespread dysfunctionality of municipalities, both functionally and administratively. As you know, many of the municipalities across the country are dysfunctional and are struggling to survive or meet their ends on a daily basis. This poses a serious obstacle to any socioeconomic development

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agenda because without reliable service delivery and employment opportunities, the vision of a sustainable economy and improved quality of life becomes unattainable.

One such example is the court case where villagers in Mnquma Municipality have won a major court battle after the Mthata High Court ruled that the Eastern Cape Premier, Oscar Mabuyana, and Water and Sanitation Minister, Pemmy Majodina, have failed their constitutional duty to intervene in the area's water crisis.

In other words, the villagers and communities themselves are taking it upon themselves to hold the government to account on service delivery failures at provincial and local government level and on matters that are at the heart of service delivery at municipal level. Municipal debt is also crippling local government.

In October 2025, Eskom's chief financial officer, CFO, Calib Cassim warned that municipal arrear debt owed to Eskom would exceed R200 million by 2030. Despite the introduction of municipal debt relief programme, nearly 14 municipalities are

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struggling to comply with the conditions. At the same time, the department appears to overlook the deeper causes of the financially nonviable municipalities. Many suffer from weak financial and credit management systems, while also being owed substantial amounts of money by government departments, businesses and households.

Municipalities cannot remain functional if the revenue collection system continues to fail. Furthermore, the department must ensure that the CRL Commission makes tangible progress regarding the recognition of the Khoisan people. This matter has remained unresolved since 2002.

There is no doubt that the Khoisan are among the oldest indigenous peoples in southern Africa. Delaying their recognition mirrors the historical injustices of apartheid where the dignity and identity of black people were denied. It is shameful that this has not been done more than 30 years into democracy. I thank you.

Mr S S ZIBI: House Chair, hon Minister and Deputy Ministers, and hon members. This morning, or at least last night, Eskom

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announced that the City of Johannesburg is over R5 billion in arrears. And they are considering cutting off electricity to the city of Johannesburg. Now, let us let that sink in for a moment.

The City of Johannesburg which is supposed to be the economic hub, the cultural hub, the sporting hub of South Africa is facing an unprecedented situation where another state entity may cut off power to its residents. It points to a much deeper problem.

The Standing Committee on Public Accounts and the Portfolio Committee on Cooperative Governance and Traditional Affairs have for the past little while have been engaging with municipalities and metros. The problem is not just in the city of Johannesburg. It is almost everywhere.

House Chair, I just want to share a few insights quickly. The first is that the quality of the political leadership matters. Where you have bad political leadership or weak political leadership, leadership that is in disarray, it will be reflected in the administration.

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And those same elected political leaders make the decisions on which city manager to appoint or municipal manager. And in turn, that official helps to determine who is going to be chief financial officer, who's going to be head of engineering or infrastructure and so on. And the quality of those decisions reflects the quality of the political decision making in Council.

The third is the inability to run political processes within the municipality itself. Where resolutions are formulated and passed for the wrong reasons, and sometimes even when the people try to make the right decision, they still do it incorrectly because of the quality problem that we have.

Now, there are two sides to the solution. The first is for South Africans to make thoughtful choices during election time. And there is one that's coming up in November. But there is a bit that is within the ambit of the Minister, that is within the ambit of Parliament and that is to begin prescribing specific standards for the appointment of officials, what is a good chief finance officer, CFO, etc. That has to be done.

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Lastly, we cannot have a situation where, as is the case in the City of Johannesburg, they still haven't tabled their financials. And there is no movement from the Ministry. Let us deal decisively with such matters.

Thank you.

The DEPYTY MINISTER OF COOPERATIVE GOVERNANCE AND TRADITIONAL AFFAIRS (Dr N D Masemola): Chairperson of the session, a very good afternoon to the Members of Parliament.

IsiXhosa:

uBulawayo, ...

English:

... the hon Minister Hlabisa, my colleague, ...

IsiXhosa:

uZwiliyajika, uTshawe ...

English:

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... the Deputy Minister, leaders of House of Traditional and Khoi San Leaders in the country, SA Local Government Association Salga, and all members of this august House, a very good afternoon to all of you colleagues. It is an honour to rise in this House on behalf of South Africans, as we consider Budget Vote 3 for the Department of Cooperative Governance and Traditional Affairs under the theme, Every Municipality Must Work.

In debating Vote 3, we are considering the state's capacity to support municipalities and stabilise local governance, strengthen service delivery to communities as well as strengthen the leadership in our municipal institutions so much required throughout the length and breadth of our republic.

In doing so, we are guided by the municipal performance and turnaround strategy based on pillars of local government that remain our focus areas. In this regard, hon members, a lot of work has been done and continues to be done around pillars of local government transformation in relation to governance, provision of basic services, financial management and

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expenditure, institutional capacity building and framework for professionalisation of local government administration, community participation, and as well as economic development.

Hon members, our ongoing efforts to ensure an efficient and effective function in local government as envisaged in the National Development Plan are advanced within the context of the reforms envisaged. These reforms have been realised through the review of the 1998 White Paper on Local Government.

Despite the assumptions made earlier, at the start of the democratic local government system, while developmental in nature, it has had challenges otherwise which have impacted on its constitutional intent, but not insurmountable, hence we are working very hard together with provinces and municipalities to resolve the related issues.

Therefore, the macro local government policy review process underway is very clear and very focused in improving performance, quality of leadership service, provision and the delivery of services.

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We are working very hard to consolidate the local government system to address related fragmentation, deal with matters of ethical, clean and capable government, define pathways for clear reforms with differentiated powers and functions towards a rationalised system, strengthen partnership-based governance and relational management of the constituency and the community municipalities, and therefore deal with matters relating to finance and as well as service delivery related issues.

The adoption of this budget therefore within this context will facilitate transition and implementation of the reviewed policy post the 4th of November 2026 municipal elections where South Africans will indeed demonstrate their confidence in the current administration.

Hon members, over the past years, work has been undertaken across provinces which has demonstrated the importance of cooperative governance. Working together with the Office of the President and the National Treasury, we are in Buffalo City Metro, Nelson Mandela, Makana, Maluti-a-Phofung as well as Mangaung, we are working very hard to stabilise all the

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eight metropolitan municipalities of our country as engines of the national economy and managing very complex confluence of factors contributing towards their metropolitanisation.

To date, ever since we took over office, we have interacted directly with almost 81 municipalities, impacting very seriously on their constructive practical working improvements with regard to delivery of services, strengthening cooperation, as well as stabilisation of these municipalities.

We are not placing these metro municipalities under section 139. In fact, we are placing them under section 154 to strengthen their performance. We are addressing Eskom municipal-related debt, water boards municipal-related debt, debt owed by departments and organs of states to municipalities, distressed municipalities, unfunded mandate, review of the funding model, and of course, we are hard at work through laws as well as the applicable regulations to strengthen professionalisation of municipalities. This work collectively would actually impact seriously so the stabilisation of municipalities.

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Therefore, Municipal Infrastructure Support Agency, MISA remains an agency for engineering and professional support to municipalities to implement infrastructure delivery systems, while in 19 municipalities through the system ...

[Interjections.] Thank you so much. We are calling for the adoption of this budget.

Thank you.

Mrs N L HLAZO-WEBSTER: Hon Chair, my contribution as we engage this Budget Vote is really going to be from the perspective of a South African. From the perspective of a South African, where South Africans are at this point asking for the bare minimum.

They are asking for municipalities that work. They pay rates, they pay taxes, they pay service charges faithfully. Yet there's too many communities that are still living with dry taps. They live with sewage flooding streets. They live with failing electricity infrastructure.

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This budget allocates R135 billion to the Department of Cooperative Governance and Traditional Affairs. Yet the lived reality of millions of South Africans tells a story of municipal decay and institutional failure.

We also have to remember that local government is the economic engine of the country. So, every small business, every household, every investment decision depends on functioning municipalities. Yet you have more than 80% of municipalities that are financially distressed or facing governance crises. The problem no longer becomes funding. It becomes governance accountability and competence.

The local government's equitable share of over R110 billion should provide water, electricity, refuse removal, infrastructure, and infrastructure maintenance. Instead, too often these funds disappear into operating deficits, into bloated wage bills, corruption and financial mismanagement.

Chair, South Africa's water crisis is becoming a national emergency. From Gauteng to Eastern Cape, across the country

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residents face repeated outages, contaminated water and collapsing water systems.

The Green Drop Report shows that nearly half of wastewater treatment plants are in critical condition. And every day the delay threatens public health, economic growth, which I spoke of earlier, and human dignity.

At the same time, we have the middle class. What we call the phenomenon they experience ... [Inaudible.] ... is a triple tax crisis where they pay income tax, municipal rates, and then they pay privately again for generators, boreholes, private security, and alternative services simply to survive state failure. Meanwhile, municipal debt to Eskom has surged R110 billion.

We welcome the long overdue review of the nearly 30-year-old White Paper on Local Government, but the review has to produce real reform. As BOSA, we believe that municipalities must be professionalised. Political deployments must be removed, and infrastructure grants have to be tied to performance and transparency.

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Municipal managers and councillors responsible for collapse and corruption have to face real consequences. One hundred and thirty-five billion is not a small sum. If this money cannot make municipalities work, then the crisis is no longer about funding, it's about state integrity. As BOSA we support the budget, but only if it's accompanied by urgent structural reform to restore functioning local government.

Thank you.

IsiXhosa:

Mnu. V ZUNGULA: The isiHlubi dialect (or language) is an endangered Southern African mother tongue belonging to the Tekela group of the Nguni Bantu languages. Closely related to Swati, Phuthi, and Bhaca, it is historically spoken by the amaHlubi people.

English:

Hon Chairperson, the co-operative governance and traditional affairs is an important department as it deals with the moral and spiritual character of the nation. The royal and spiritual fraternity plays a key role in shaping the moral character of

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the country. These institutions must be intentionally invested in to build the kind of citizen we want in South Africa an upright citizen.

The department must confront the historically injustices of the colonial era which destroyed the identity of the nations.

We know AmaMpondomise, AmaHlubi, and other nations were victims of the cruel and inhumane destruction of their kingship and nations. The kingship of AmaMpondomise was restored in the year 2020. Why can't the same happen for amaHlubi? AmaHlubi's kingship does not take away anyone's kingship. It is an injustice that a democratic government of black people is not intentional about correcting this injustice.

Hon Minister, it is the fact that it is the British Monarch that destroyed our nation during the colonial era. It is a travesty of justice that the British government recognises their crimes in this regard, but the South African government does nothing to correct these historical atrocities.

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Hon Minister, I have a letter and it is signed by N Grant who was the former High Commissioner of the British High Commission which was sent to amaHlubi in 2004. In this letter they correctly refer to the King of AmaHlubi as a King. As the people who imprisoned King Langalibalele the 1st, in Robben Island, they know exactly the status of amaHlubi and its kingship. We ask you hon Minister, to fight for justice and truth in this regard. AmaHlubi's language, heritage and customs are under threat due to the lack of recognition. What is even more troubling is the identity of amaHlubi being eroded and the nation faces a threat of extinction. We ask that you support the Draft Resolution sponsored by the ATM that mandates the Portfolio Committee on Co-operative Governance and Traditional Affairs to look into legal and administrative gaps that block restorative justice for traditional communities.

There are many traditional communities across the country that must be recognised. AmaBomvana in Mqanduli, Lekhuleni in Gauteng and many other traditional communities must be protected. Many traditional community's hon Minister, do not have money to go to court and fight for justice. Hence the

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department and Parliament must embark on a process of restoration. It is very concerning that Afrikaners at Orania, Eureka, Klienfontein are protected as traditional communities. However, a black government does not assist black traditional communities in their struggle for restoration and justice.

Hon Minister, we plead for truth and justice for ...

IsiXhosa:

... izizwe neenkosi. Mphathiswa, mandikunike le ncwadi nawe ubenayo.

IsiZulu:

Mnu I ISMAIL-MOOSA: Malibongwe!

English:

Hon Chairperson and hon Ministers, in the name of the almighty the most gracious and merciful, I greet this House and all our beloved South Africans in the name and prayer of truth, transparency and honesty. Al Jama-ah rises on debate No 3: Co-operative governance, including, Vote No 15: Traditional affairs.

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Co-operative governance remains one of the most critical pillars in ensuring that government delivers effectively to the people on the ground. Our municipalities are the face of government to ordinary citizens. Yet many communities continue to suffer from poor service delivery, collapsing infrastructure, water shortages, corruption and financial mismanagement.

The people of South Africa deserve municipalities that are accountable, transparent and people centred. Local government must not become a place where political battles and mismanagement deprive our people of dignity and basic services.

The state of Johannesburg in particular is in dire need of urgent service delivery intervention. Residents continue to endure the terrible conditions of roads filled with potholes, dysfunctional traffic lights, deteriorating infrastructure and increasing frustration on a daily basis.

I heard on news this morning a massive 19-days water shut down soon is looming on the City of Johannesburg from 29 May until

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17 June. At the Palmit and Zuikerbosch sites. One of the most disappointing aspects is that many law-abiding residents who faithfully pay for municipal services are subjected to cut offs and penalties while others continue receive services without accountability. This growing perception of unfairness is rapidly causing residents to lose confidence and trust in the Local Municipality of Johannesburg.

While Al Jama-ah supports assisting vulnerable communities and informal settlements, fairness, accountability and sustainability must apply across the board. Municipalities must ensure that paying residents are not neglected or unfairly burdened while service delivery continue to collapse around them.

Al Jama-ah further acknowledges the important role played by traditional leaders in preserving culture, promoting social cohesion and serving communities especially in the rural areas. Traditional leadership continues to play a vital role in nation-building, conflict resolution and moral guidance within communities.

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However, we must ensure that traditional communities are empowered through meaningful development, access to economic opportunities, proper infrastructure, health care, education and support for the youth

Rural communities must not be left behind in the development of our nation. We also call for a stronger oversight and consequence management, where public funds are abused. I thank you.

IsiZulu:

Malibongwe!

English:

[Time expired.]

Ms A M VAN ZYL: Hon Chairperson, South Africans are tired. They are tired of hearing that local government is turning the corner, while their taps remain dry, potholes damage their vehicles, streetlights remain off for ages and raw sewage becomes rivers in communities. This budget reaffirms what residents already know. Local government in South Africa is in

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deep crises. The crises do not exist because of money; it is because of a failure to be accountable. For money alone was enough to fix municipalities, South Africa would have had municipalities that function.

Instead, this report tells us that a 105 out of 144 service authorities, water service authorities are failing.

Hon Deputy Minister Masemola this report actually does admit that seven out of eight metros are unstable. It admits that infrastructure maintenance is neglected. And it admits that the water tanker mafias flourish where the government has failed to provide a stable water supply.

Hon Chairperson, we are not talking about nice to haves. Residents are not demanding marble pavements or smart cities. What residents want is water in their taps, sewerage systems that work, roads that do not look like moon craters and streetlights that work so that people can walk home safely.

However, under the ANC-led government, even basic services have become luxuries. Why? Hon Zibi, I have to agree with you

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here. It is because corruption and cadre deployment have hollowed out local government over the past 30 years. The ANC politicians have deployed cadres on the basis of loyalty instead of ability.

Hon Minister, instead of enforcing consequences or accountability this department continues to fund dysfunction. This report also further indicates that R535 million, of Municipal Infrastructure Grants, MIG, will now be converted from schedule 5(b) to schedule 6(b) because municipalities are unable to spend this money on their own. Hon Minister, can you imagine that.

National government must increasingly step in and spend infrastructure money on behalf of municipalities because they simply cannot and are not able to manage their own affairs. That is not co-operative governance, it is municipalities in intensive care unit, ICU. Still the ANC refuses to admit that cadre deployment has failed.

Hon Chairperson, the department encourages municipalities to spend at least 10% of the MIG funding on infrastructure

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maintenance but in reality, too few municipalities spend any budget on the infrastructure maintenance.

It is very clear that many metros are maintaining tender networks better than they maintain on infrastructure. In Johannesburg, residents dodge potholes like obstacle courses. In eThekweni raw sewerage flows into rivers and beaches. In Nelson Mandela Bay, entire communities sit with collapsing water and electricity infrastructure, while politically connected contractors somehow always seem to stay fully operational.

Hon Chairperson, the DA supports the principle raised in this report that municipalities must strengthen their water and electricity straining services. We must, however, be very honest about the real problem. In too many ANC-ran municipalities revenue raised from water and lights does not go to maintenance. Revenue collected for water infrastructure is diverted elsewhere while pipes leak.

Electricity revenue disappears into bloated administrations, consultants and political dysfunction while substations

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collapse and outages worsen. Revenue raised from these trading services must go towards fixing and maintaining infrastructure. This really is not difficult. When streetlights do not work, crime increases. When roads collapse, businesses suffer. When sewerage flows into rivers and beaches, tourism declines. When infrastructure fails, investors leave. When investors leave so do job opportunities.

That is why the DA says basic service delivery is economic policy.

Hon Minister, a functional municipality creates growth, and a failed municipality creates poverty.

Hon Ndamase indeed, just look at our metros, cities that should be economic hubs that drive investment and job opportunities are simply not. The City of Johannesburg should be the financial capital of Africa. EThekweni must be one of the continent's leading port cities. Nelson Mandela Bay should be a manufacturing and industrial powerhouse. Instead of that the ANC-ran metros have become symbols of instability, infrastructure decay and governance failure. Businesses do not

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invest where sewerage flow in the streets. Tourists do not visit broken towns. Factories do not expand where water and electricity supply is unreliable. While ANC-led government stumble from one crisis meeting to the next, one metro has proven time-and-time again that good governance improves lives. That is of course the City of Cape Town. I have to say here to the hon Van Wyk, some parties have perfected the art of kingmaking but completely fail at the art of governing just ask the people of Beaufort West.

The CHAIRPERSON (Mr M G Mahlaule): Hon members, can you see how close you are to the podium. The hon Reddy. Do you see how close you are to the podium? So, when you shout, you are drowning the speaker.

[Interjections.]

I am not having this conversation with you. Can you please ...

Ms A M VAN ZYL: Hon Chairperson, they are encouraging the truth.

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The CHAIRPERSON (Mr M G Mahlaule): Hon member, can you please proceed.

Ms A M VAN ZYL: According to the Auditor-General, the City of Cape Town remains the best financially run government. The Western Cape still remains the best municipal audit outcomes in the country because of a few things. Appointments based on competency, finances that are managed properly, and proper consequence management and accountability. This is not magic and it is not luck. This is what happens when a government appoint engineers instead of cadres. The DA rejects a future where dysfunction has become the norm. We believe in professional local government merit-based appointments.

Functioning infrastructure. Consequence management. Safer communities. Growing local economies and municipalities that actually work for the communities. Because hon Minister, South Africans are not asking for miracles, they are simply asking for water in their taps roads without craters, streetlights that come on at night and sewerage system that work. We must do better. Thank you.

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Ms D R DIREKO: Hon Chairperson, Minister, Deputy Ministers, hon members, the directors-general of the Department of Co-operative Governance and Traditional Affairs and the team, and fellow South Africans, the ANC supports this budget because we believe in the wellbeing of our communities and they are our priority.

Each municipality has a responsibility to provide services to our people without fail. Our people deserve a clean environment that meets the standards of environmental health and safety, taps with running water ...

The CHAIRPERSON (Mr M G Mahlaule): Hon Direko, can you hold on? Hon Reddy, you are very close to the podium. Don't drown out the speaker. No, we are not going to have this exchange. You are responding back to me and I'm asking you very nicely to please not drown out the speaker. You are very close. If you want to shout, go back and sit on the other side. You are talking back to me. Can you please proceed, hon Direko?

Ms D R DIREKO: ... municipalities that cut trees and maintain public spaces, visible road markings, roads without potholes

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and a conducive environment for economic development in order to fight unemployment and poverty, which remains a global challenge.

All of the above can only be achieved through good governance. This requires skilled and qualified employees, a healthy working relationship between the employer and employees, consciousness, commitment and a strong dedication to serving the communities by both the councillors and local government employees.

However, in some municipalities we have witnessed a decline in service delivery. Where service delivery is poor, financial systems are not properly put in place. There is no consequence management and a commitment to serving communities is absent.

This attitude cannot be accepted because a conscious leader cannot find peace while communities continue to suffer. As the ANC, we have undertaken a process of self-assessment, which is why we have declared this year as the year of decisive action to fix local government. This action is informed by realities that, while we have ANC-governed municipalities that are

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performing exceptionally well, we also have other municipalities that are not meeting the standards set by the ANC for municipalities.

In the Free State, the ANC has listened to the concerns raised by the people of Mafube, and appointed what we call the people's mayor, a mayor who is academically qualified with a BTech degree in agricultural management. This is important because Mafube is a semirural municipality, where agriculture is one of the main drivers of economic development.

Tswelopele Municipality, as small as it may be, has become the pioneer in championing initiatives of climate change, and was one of the first municipalities to host a community-led town hall conference of the parties.

The CHAIRPERSON (Mr M G Mahlaule): Hon Direko, can you please take a seat? Hon Reddy, why are you rising?

Mr V G REDDY: Hon Chair, I rise in terms of Rule 87. The speaker is misleading the House. In the Free State and all

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those municipalities she is talking about, people are crying out for service and are getting no service.

The CHAIRPERSON (Mr M G Mahlaule): Hon Reddy, can you switch off your microphone? That's a point of debate. Can you proceed, hon Direko?

Ms D R DIREKO: The Nkangala District Municipality in Mpumalanga has continued to receive clean audits for several consecutive years and remains one of the best well-performing ANC-led municipalities.

As we speak now, the Lejweleputswa District Municipality, which was surrounded in controversy ... of being a special municipality, has elected the new Executive Mayor, Cllr Phindiwe Maseko. We congratulate her and also thank the ANC for acting against poor leadership in our municipality.

In Gauteng, the provincial Department of Co-operative Governance and Traditional Affairs has introduced a system where they have encouraged municipalities to share and learn from the experiences and best practices that they have.

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Municipalities have also been given a role in different areas of service delivery. For example, the City of Ekurhuleni is the champion for water services, while the City of Tshwane is the champion for law enforcement. We must indicate that in Ekurhuleni, that programme is not an individual programme. It's a programme of the municipality.

In the North West, the Department of Co-operative Governance and Traditional Affairs has improved on municipal audit outcomes in the recent year, reducing disclaimers from the number that they had to one municipality, which is Ditsobotla. Section 139(7) ... of the national intervention and support team from the national office is also assisting in strengthening further progress in that area.

The number of unqualified audit opinions in the North West have increased to six, which includes Moses Kotane, greater Taung and JB Marks.

In the Eastern Cape, we've got the Xuma Local Municipality, we have Senqu in the Joe Gqabi District Municipality, which have been receiving clean audits and ... also improved

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significantly on service delivery. These municipalities also received additional funding due to compliance and responsible spending.

When hon Mtolo spoke about Ubuntu, he was correct. Ubuntu defines us as South Africans. Hence, many of us ask questions regarding Ubuntu when we got the issue of the fire pool saga. This is exactly what hon Mtolo should also ask himself when he speaks about Ubuntu. Where does the fire pool saga fit in there, because they are responsible for that particular person who was part of the fire pool?

The DA should not come here and be opportunistic about clean government while they know that they have questionable characters ...

Mr A NCHABELENG: Chair, this one is out of order.

Ms D R DIREKO: ... as mayors in those spaces, such as Mayor Grant Riddles of the ... municipality who was alleged to have encouraged community members who were middle class to lie about their salaries so that they could benefit from the

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housing allowance that was given to people who were disadvantaged.

When you want to understand the character of the DA, just go to Langa and look at the state of Langa. That's where you'll understand that that is a true reflection of the DA when they speak about clean government and also speak about service delivery.

Lastly, when you speak about the City of Johannesburg, the challenges that you face in that particular city are ones that were created by the DA and its friends. Now they want to come here and play devil's advocate, whereas they know that they are the worst ... [Inaudible.] ... Thank you, Chair. We support the budget.

The CHAIRPERSON (Mr M G Mahlaule): Hon Nchabeleng on the virtual platform. Hon Nchabeleng on the virtual platform, can that be the last time that you switch on your microphone and speak without being recognised? Thank you. The next speaker will be the hon the Minister.

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The MINISTER OF CO-OPERATIVE GOVERNANCE AND TRADITIONAL AFFAIRS: Hon Chairperson and hon members, allow me to begin by expressing our sincere appreciation to all hon members who have participated in this debate.

The debate has been constructive, thoughtful and reflective of the seriousness with which this House approaches challenges facing local government and traditional leadership. I agree with hon Mtolo that Ubuntu is about providing our people with basic services. These challenges experienced by our communities can only be resolved through supporting the budget.

I also agree with hon Mkhalihi. This budget is about giving life to municipalities which are the heartbeat of our economy and service delivery.

Across the House, members have correctly raised concerns relating to failing municipalities, corruption, infrastructure backlogs, political interference, governance weaknesses and service-delivery challenges. These are real concerns and they

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are precisely the issues this Budget Vote seeks to address in a systematic, reform-oriented manner.

I want to assure hon members that these concerns will continue to strengthen our interventions, deepen oversight, ensure professionalism, transparency and accountability, as well as measurable outcomes.

The review of the White Paper on Local Government will indeed emerge with recommendations that will impact various legislations, even including the Constitution, on matters such as the roles, powers and functions of our traditional and Khoi and San leaders.

The direction of the department is clear. We are moving from diagnosis to delivery. Our intervention is timely but guided by legislation.

I wish to extend my appreciation to members and parties who have expressed their support for this Budget Vote. Your support reflects a commitment to strengthen municipalities,

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improve governance and ensure that local government fulfils its constitutional mandate.

Let me confirm that the government will not hesitate to act when municipalities fail to meet their obligations. At the same time, we must ensure that interventions are lawful, sustainable and focused on restoring functionality and service delivery.

The debate has also highlighted the critical importance of traditional leadership in our governance system. We remain committed to strengthening traditional institutions, resolving legislative matters and ensuring that traditional leadership is fully integrated into development planning.

We must also recognise that the context within which local government operates is becoming more complex. The increasing frequency of disasters, infrastructure pressures and fiscal constraints all place additional demands on municipalities. This requires a state that is more co-ordinated, more responsive and more capable.

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This Budget Vote reflects a clear and deliberate effort to stabilise municipalities, strengthen governance systems, restore accountability and build resilience within communities, guided by the principle that every municipality must work.

Let me take this opportunity to thank the two Deputy Ministers and the entire administrative leadership within the Ministry. We remain committed to building a local government system that delivers to all South Africans. I therefore once again thank all of you hon members for the contributions you made. Thank you very much, hon Chair.

The CHAIRPERSON (Mr M G Mahlaule): Thank you, hon Minister. Hon members, you are reminded that two debates are scheduled simultaneously for 16:45 today – the Government Communication and Information System Budget Vote No 4 debate will be held in the Good Hope Chamber, while the Land Reform and Rural Development Budget Vote No 42 debate will take place in Committee Room M46.

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That concludes the debate and the business of this mini-plenary session. The mini plenary will now rise.

Debate concluded.

The mini plenary rose at 15:57.